OAVS TGT · Current Affairs

Finance, Banking & Economy

Built from the finance and banking questions in your 5 previous-year papers

Coverage window: Jan 2025 – 28 Oct 2026

How this part is organised

Finance, banking and economy were **21 of 150** current-affairs questions (14%, or 3–5 per paper). They cover RBI and banks (11), taxes, GST and budgets (6), and economy figures and reports (4). **One big change since your PYQ years:** the RBI raised the repo rate on 7 Oct 2026 for the first time since Feb 2023, so old repo-rate answers are out of date.

Section	Topic	Why it matters
1	RBI and monetary policy	Repo rate, WMA, currency chest, RBI frameworks (2019, 2024)
2	Union Budget 2026-27 and fiscal numbers	Budget questions in 2023 (Saptarishi, ASI funds)
3	Economy: growth, inflation, ratings, trade deals	World Bank, GDP rank, import data
4	GST and taxation	GST Council (2023), crypto tax (2022)
5	Banking sector and regulation	HDFC merger, FSIB, bank tie-ups, nominee rules
6	Digital payments and UPI	RuPay on UPI (2023), Paytm Payments Bank (2022)
7	Finance office-holders	NPS Trust, Ujjivan director-type questions
8	Practice MCQs (25) and answer key	—

Reliability key. ✔ = checked against live web sources on 28 Oct 2026. ◆ = from my own knowledge, so cross-check once before the exam. Unmarked facts come from your PYQ keys.

What the PYQs tell us

Paper	Q	Topic asked	Type
Sci 2024	43	HDFC Bank mega-merger (2022) – with Housing Development Finance Corporation	Banking
Sci 2024	44	World Bank GEP Jan 2023 – India FY23 growth 6.9%	Economy report
Sci 2024	70	Chairman of NPS Trust (Nov 2022) – Suraj Bhan	Appointment
Maths 2024	42	Banks Board Bureau → Financial Services Institutions Bureau (July 2022)	Banking body
Maths 2024	45	SPMCIL full form – Security Printing and Minting Corporation of India Ltd	Static
Maths 2024	54	Punjab & Sind Bank – co-brand credit cards with SBI Cards (Dec 2022)	Banking
Maths 2024	61	RBI Medium-Term Strategy Framework 2023-25 – Utkarsh 2.0	RBI
Eng 2019	2	Largest share of India's steel imports (2017) – South Korea	Trade
Eng 2019	16	What is a Currency Chest – currency storage	Static
Eng 2019	21	Repo rate on 4 April 2019 – 6%	RBI
Eng 2019	22	Full form of WMA – Ways and Means Advances	Static
Eng 2022	1	Tax on income from transfer of digital assets (Feb 2022) – 30%	Tax
Eng 2022	17	ADB–India $112 million loan for a skill university – Assam	Loan
Eng 2022	20	Paytm Payments Bank got Scheduled Bank status (Dec 2021)	Banking
Eng 2022	25	IndusInd Bank – Green Fixed Deposits	Banking product
Eng 2022	28	RBI nominee director on Ujjivan SFB – PN Raghunath, 2 years	RBI
SS 2023	4	Top four world economies (2022) – US, China, Germany, Japan	Economy
SS 2023	5	RuPay credit cards on UPI – no charge up to ₹2,000	Payments
SS 2023	16	49th GST Council (18 Feb 2023) – pencil sharpeners 18% to 12%	GST
SS 2023	24	Union Budget 2023-24 'Saptarishi' priorities	Budget
SS 2023	28	ASI allocation in Budget 2023-24 – ₹1,102.83 crore	Budget

Patterns to exploit

- **RBI and banks are about half the questions** (11 of 21): policy rate, RBI frameworks, bank tie-ups, mergers, new bank products. Know the current repo rate and the RBI Governor.
- **Exact numbers are tested** (30% crypto tax, ₹2,000 UPI limit, ₹1,102.83 crore ASI funds, 6.9% growth). Memorise headline numbers from the Budget, GDP and policy sections.
- **Static terms keep coming back** (WMA, Currency Chest, SPMCIL). Section 7 lists likely static terms.
- **Budget and GST Council decisions** appear every year or two; Section 2 and 4 cover the latest ones.
- **Recency:** your questions came from the previous 12–18 months, so Oct 2026 policy, Budget 2026-27 and GST 2.0 are the top tier.

1. RBI and monetary policy

Item	Detail	Chk
Latest decision	**7 Oct 2026:** the six-member MPC, chaired by Governor **Sanjay Malhotra**, **unanimously raised the repo rate by 25 bps to 5.50%** (from 5.25%) and changed the stance to '**calibrated tightening**'. It is the **first hike since Feb 2023**, ending a cycle of four cuts totalling 125 bps in 2025 and a long pause. Reasons: rising inflation risks, crude price shocks and global tensions	✔
RBI projections (Oct 2026)	FY27 GDP growth **7.1%** · FY27 CPI inflation average **5.2%** (Q2 4.9%, Q3 6.0%, Q4 5.7%)	✔
Repo rate path	Feb 2023: 6.50% (last hike before 2026) · Feb 2025: 6.25% · Apr 2025: 6.00% · Jun 2025: 5.50% (50 bps cut) · Aug and Oct 2025: unchanged at 5.50% · **Dec 2025: 5.25%** · Feb–Aug 2026: held at 5.25% · **Oct 2026: 5.50%**. Your PYQ: 6.00% on 4 Apr 2019	✔
Rate corridor (derived)	With repo at 5.50%: Standing Deposit Facility (SDF) 5.25% and Marginal Standing Facility (MSF) and Bank Rate 5.75%. I derived these from the usual 25 bps gaps, so check them	◆
Reserve ratios	CRR was cut to 3% in phases in 2025 (from 4%) ◆. Bond-market talk before the Oct 2026 policy mentioned a temporary CRR hike, so **check whether CRR changed on 7 Oct**	◆
Governor and MPC	Governor **Sanjay Malhotra** (since 11 Dec 2024; first policy Feb 2025). MPC has 6 members: 3 RBI and 3 external. Meets at least 4 times a year; inflation target 4% ±2%	✔
Banking Laws and RBI rules	Master Directions consolidated: 244 MDs, 9,445 circulars withdrawn (28 Nov 2025) · digital banking guidelines (risk-based authentication) from 1 Apr 2026 · forward-looking Expected Credit Loss (ECL) framework phased to Mar 2031 · FREE-AI framework for AI in finance (Oct 2025)	✔
Your PYQ frameworks	RBI's Medium-Term Strategy Framework 2023-25 was **Utkarsh 2.0**. Green Fixed Deposits (IndusInd, 2022) came under RBI's green deposit framework	

Exam note: the 2019 PYQ asked for the repo rate on a specific date. Answer with the rate on that date. If the question says 'currently' or 'as of Oct 2026', the answer is 5.50%.

2. Union Budget 2026-27 and fiscal numbers

Item	Detail	Chk
Presentation	**Sunday 1 Feb 2026**, by Nirmala Sitharaman – her **9th consecutive Budget**, a record. The first Budget prepared in **Kartavya Bhawan**; built around three 'kartavyas' (accelerating growth, building people's capacity, providing resources and amenities to all); called a 'Yuva Shakti-driven' Budget	✔
Fiscal deficit	**4.3% of GDP** in BE 2026-27 (RE 2025-26: 4.4%). Debt-to-GDP 55.6% (56.1% in RE 2025-26). Revenue deficit 1.5% of GDP	✔
Capital expenditure	Public capex raised to a record **₹12.2 lakh crore** (about 9% higher). Railways capital outlay ₹2.77 lakh crore (₹2,77,830 crore, as announced in the speech)	✔
Announcements	Semiconductor Mission 2.0 / Electronics Components Manufacturing Scheme outlay raised to **₹40,000 crore** · Container Manufacturing Scheme ₹10,000 crore over 5 years · Infrastructure Risk Guarantee Fund for SME lenders · seven new high-speed rail corridors and a tax holiday for foreign cloud users of Indian data centres (single-source report, so verify)	✔
Tax changes	**No change in income-tax slabs.** Buybacks taxed as capital gains for all shareholders (promoters pay an additional buyback tax); more time to file revised and belated returns	✔
Budget 2025-26 (Feb 2025)	No income tax up to ₹12 lakh (₹12.75 lakh for salaried with standard deduction) under the new regime ◆	◆
Your PYQ: Budget 2023-24	Seven priorities, the 'Saptarishi' (inclusive development, reaching the last mile, infrastructure and investment, unleashing the potential, green growth, youth power, financial sector). ASI got ₹1,102.83 crore	

3. Economy: growth, inflation, ratings and trade

Item	Detail	Chk
GDP growth	**Q1 FY27 (Apr–Jun 2026): 7.8%** real GDP growth (₹81.36 lakh crore), above the RBI's 7.0% estimate; nominal GDP up 10.3% (₹88.27 lakh crore); GVA up 8.2%; investment up 11.9%; exports up 12.0%. Q4 FY26 was also 7.8%; Q2 FY26 was 8.2%. A new GDP series was released in Feb 2026	✔
Growth forecasts	RBI (Oct 2026) FY27: **7.1%** · IMF (July 2026): 6.4% for FY27 (calendar 2026) · IMF (Jan 2026) raised FY26 to 7.3%; NSO had estimated FY26 at 7.4% · World Bank (Oct 2025): 6.5% for FY26 and 6.3% for FY27; later upgraded FY27 to 6.5%	✔
Your PYQ link	World Bank GEP Jan 2023 projected India's FY23 growth at 6.9%. In 2022 the top four economies were US, China, Germany and Japan (India was 5th)	
Ratings	S&P; affirmed India at **BBB/A-2, stable**, after upgrading the long-term rating to BBB in 2025 – the first upgrade in 18 years	✔
Trade deals	**India–EU FTA concluded 27 Jan 2026** (largest India has done) · **India–US interim trade framework, Feb 2026**: US tariffs on Indian goods cut to **18%** (from a combined 50%, after the 25% Russian-oil penalty was revoked) · India–UK CETA signed July 2025 · India–EFTA TEPA in force 1 Oct 2025 · India–Oman CEPA signed 18 Dec 2025 · India–New Zealand FTA talks concluded 22 Dec 2025	✔
Rupee	The rupee breached ₹90 per US dollar and hit a record low near ₹90.80 in the months before the Feb 2026 US trade deal, then rose 122 paise to ₹90.27 on the deal. I did not find the current level	✔
Ranking	India is the 4th-largest economy by nominal GDP (IMF figures) and is expected to pass Germany for 3rd later this decade ◆	◆

4. GST and taxation

Item	Detail	Chk
GST 2.0	The **56th GST Council (3 Sept 2025)** approved a two-slab structure: **5% and 18%** plus a **40% rate for sin and luxury goods** (tobacco, aerated drinks, cars above a size, motorcycles above 350 cc, yachts). The old 12% and 28% slabs were removed. Effective **22 Sept 2025**. Cheaper: packaged foods, ACs and TVs (28% to 18%), medicines and medical devices, fertilisers	✔
57th GST Council	Two-day meeting that **ended 8 Oct 2026**: **no rate changes**; rate rationalisation will now be taken up at one dedicated meeting a year; pre-deposit for penalty-only appeals capped at ₹40 crore	✔
GST collections	**Sept 2026 gross GST: ₹2,03,521 crore, up 14.7%** year on year (net ₹1,76,520 crore, up 18.1%). Collection growth had dipped in late 2025 after the rate cuts (−3.9% in Nov 2025)	✔
Income-Tax Act	New **Income-Tax Act, 2025** replaces the 1961 Act, effective **1 Apr 2026** ◆. An Income-Tax (Amendment) Ordinance 2026 was replaced by a Bill in the Monsoon Session	◆
Your PYQ: crypto tax	30% on income from transfer of virtual digital assets (Sec 115BBH) plus 1% TDS, from 1 Apr 2022	
Your PYQ: 49th Council	18 Feb 2023: pencil sharpeners cut from 18% to 12% (the old slab structure)	

Trap: after GST 2.0 there is no 12% or 28% slab. A PYQ answer such as '12%' for a 2023 item was right for 2023, but the same item now has a different rate.

5. Banking sector and regulation

Item	Detail	Chk
Banking Laws (Amendment) Act, 2025	Notified **15 Apr 2025**: **19 amendments across five Acts** (RBI Act 1934, Banking Regulation Act 1949, SBI Act 1955, and the Banking Companies Acquisition Acts of 1970 and 1980). **Customers can name up to four nominees** (nomination provisions from 1 Nov 2025). Better audit and governance in PSBs; uniform reporting to RBI	✔
Public sector banks	**12 PSBs**. No fresh PSB merger has been approved as of Sept 2026; the Finance Ministry said in Parliament that no proposal is under consideration, though consolidation (aim: a few large banks) remains under policy discussion and SBI's chairman has called another round practical. Past merger wave 2017–20: 10 banks merged into four	✔
SBI	Chairman **Challa Sreenivasulu Setty**; business crossed ₹100 trillion by Q2 FY26; the only Indian PSB in the S&P list of the world's top 100 banks (rank 43)	✔
PSB appointments	Revised guidelines (8 Oct 2025): MD & CEO posts in all nationalised banks opened to private candidates; one ED post in large banks and one MD post in SBI also open	✔
Your PYQ mergers	HDFC Ltd merged with HDFC Bank (announced April 2022, effective July 2023). Banks Board Bureau became the **Financial Services Institutions Bureau** (July 2022). Punjab & Sind Bank tied up with SBI Cards (Dec 2022)	
Cooperative banks	Central and state cooperative banks were brought under the RBI Ombudsman scheme	✔

6. Digital payments and UPI

Item	Detail	Chk
UPI at 10	Launched **25 Aug 2016** by NPCI; completed 10 years in Aug 2026. Transactions grew from 1.78 crore in FY17 to **24,162 crore in FY26** (value about ₹314 lakh crore). About 55.49 crore users by June 2026	✔
Records	**Aug 2026: 24.51 billion transactions, ₹29.8 lakh crore** (record volume) · Sept 2026: 24.07 billion, ₹29.37 lakh crore (up 23% in volume year on year) · July 2026: 23.66 billion	✔
MDR debate	The Finance Ministry introduced a Bill to amend the **Payment and Settlement Systems Act, 2007**, which could allow MDR on some payment modes. A report of 1 Oct 2026 describes a framework with zero MDR for merchant payments up to ₹2,000 and 0.4% on specified larger merchant payments, with P2P free. Reports conflict, so verify before the exam	◆
Your PYQ link	In 2022 NPCI said no charge for RuPay credit cards on UPI up to ₹2,000. Paytm Payments Bank received Scheduled Bank status in Dec 2021	

7. Finance office-holders and static terms

Post	Holder	Chk
RBI Governor	Sanjay Malhotra (since 11 Dec 2024)	✔
Finance Minister	Nirmala Sitharaman (9 Budgets in a row)	✔
SBI Chairman	Challa Sreenivasulu Setty	✔
SEBI Chairman	Tuhin Kanta Pandey ◆	◆
Chief Economic Adviser	V. Anantha Nageswaran ◆	◆
NPS Trust Chairman	Suraj Bhan was your PYQ answer (Nov 2022); current holder not checked	

Static terms your PYQs tested

Term	Meaning
WMA (Ways and Means Advances)	Temporary loans from the RBI to the Centre and states to cover short-term cash mismatches
Currency Chest	A storage facility (run by banks on RBI's behalf) where banknotes and coins are kept for distribution
SPMCIL	Security Printing and Minting Corporation of India Limited – prints currency, stamps, security paper
Repo rate	Rate at which the RBI lends short-term to banks against securities. Reverse repo is the opposite (SDF is now the floor)
Positive Pay	RBI's cheque-verification system for high-value cheques (an earlier PYQ option)
Utkarsh 2.0	RBI's Medium-Term Strategy Framework for 2023-25

8. Practice MCQs (25)

Answers are on the last page. Each question uses facts marked ✔ above.

1. What is the RBI repo rate after the 7 Oct 2026 policy?
(A) 5.25% (B) 5.75% (C) 6.00% (D) 5.50%

2. The RBI changed its stance in Oct 2026 to:
(A) Neutral (B) Calibrated tightening (C) Accommodative (D) Withdrawal of accommodation

3. The Oct 2026 repo hike was the first since:
(A) Feb 2020 (B) Dec 2022 (C) Feb 2023 (D) May 2022

4. RBI's projected GDP growth for FY27 (Oct 2026):
(A) 6.4% (B) 6.9% (C) 7.5% (D) 7.1%

5. RBI's FY27 average CPI inflation projection:
(A) 5.2% (B) 4.0% (C) 6.0% (D) 3.8%

6. India's real GDP growth in Q1 FY27 (Apr–Jun 2026):
(A) 6.9% (B) 7.8% (C) 8.2% (D) 7.1%

7. The Union Budget 2026-27 was presented on:
(A) 28 Feb 2026 (B) 1 Feb 2026 (C) 31 Jan 2026 (D) 5 Feb 2026

8. Fiscal deficit target for 2026-27:
(A) 4.4% (B) 5.1% (C) 4.3% (D) 3.9%

9. Public capital expenditure in Budget 2026-27:
(A) ₹10 lakh crore (B) ₹11.1 lakh crore (C) ₹15 lakh crore (D) ₹12.2 lakh crore

10. Budget 2026-27 was Nirmala Sitharaman's ____ consecutive Budget:
(A) 9th (B) 7th (C) 8th (D) 10th

11. The first Budget prepared in this building was Budget 2026-27:
(A) Nirman Bhawan (B) Kartavya Bhawan (C) North Block (D) Shastri Bhawan

12. GST 2.0 came into effect on:
(A) 1 Oct 2025 (B) 1 Jan 2026 (C) 22 Sept 2025 (D) 1 Apr 2026

13. After GST 2.0, the special rate for sin and luxury goods is:
(A) 28% (B) 35% (C) 12% (D) 40%

14. The 57th GST Council (ended 8 Oct 2026) decided:
(A) No rate changes (B) Cut 18% to 12% (C) Merge CGST and SGST (D) Remove the 5% slab

15. Under the Banking Laws (Amendment) Act 2025, a depositor can nominate up to:
(A) Two (B) Three (C) Four (D) Six

16. The Banking Laws (Amendment) Act 2025 was notified on:
(A) 1 Jan 2025 (B) 15 Apr 2025 (C) 1 Aug 2025 (D) 1 Nov 2025

17. How many public sector banks does India have?
(A) 12 (B) 10 (C) 14 (D) 27

18. SBI's Chairman:
(A) Dinesh Khara (B) Rajnish Kumar (C) Arundhati Bhattacharya (D) C. S. Setty

19. UPI was launched on:
(A) 25 Aug 2016 (B) 30 Dec 2016 (C) 1 Jan 2017 (D) 8 Nov 2016

20. UPI's record monthly volume in Aug 2026:
(A) 20.1 billion (B) 24.51 billion (C) 28.3 billion (D) 18.9 billion

21. The India–EU FTA was concluded on:
(A) 15 Aug 2025 (B) 1 Jan 2026 (C) 27 Jan 2026 (D) 2 Feb 2026

22. US tariffs on Indian goods after the Feb 2026 interim framework:
(A) 25% (B) 50% (C) 10% (D) 18%

23. India–UK CETA was signed in:
(A) July 2025 (B) Jan 2026 (C) Dec 2024 (D) Oct 2025

24. S&P;'s rating for India (stable outlook):
(A) BBB- (B) BBB (C) BB+ (D) A-

25. Who is the RBI Governor (2026)?
(A) Shaktikanta Das (B) Urjit Patel (C) Sanjay Malhotra (D) Raghuram Rajan

Answer key

1-D **2**-B **3**-C **4**-D **5**-A **6**-B **7**-B **8**-C **9**-D **10**-A **11**-B **12**-C **13**-D **14**-A **15**-C **16**-B **17**-A **18**-D **19**-A **20**-B **21**-C **22**-D **23**-A **24**-B **25**-C

Before you rely on this: items marked ◆ need one cross-check, especially the CRR after 7 Oct 2026, the corridor rates (SDF, MSF), the UPI MDR framework (reports conflict), and the SEBI, CEA and NPS Trust chiefs. I did not find the current rupee level or Sensex/Nifty levels. Reply **'next'** for the next part (International affairs, summits, treaties and defence exercises).